

Group Project Assignment 1: Societal Problem Definition

1. Newspaper Article

Source: Reuters (2026, August 26). *One in Three UK Employers Cut Entry-Level Jobs as AI Expands*. London, UK.

Source description: This news article was written by Reuters, a major international wire news agency, and published on 26-08-2026 in London, United Kingdom.

One in three UK employers have cut entry-level jobs, survey shows

By Reuters

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A passer-by walks past a job centre in Borough, in London, Britain, December 1, 2024. REUTERS/Mina Kim [Purchase Licensing Rights](#)

LONDON, Aug 26 (Reuters) - Over a third of British employers have reduced the number of entry-level jobs open to younger workers over the past year due in part to increased use of artificial intelligence and other forms of automation, a survey showed on Wednesday.

Almost half of larger employers said they had fewer vacancies than a year ago, according to the survey for Lancaster University's Work Foundation.

"Young people are entering one of the toughest labour markets in years, facing intense competition for a shrinking number of entry-level jobs and fewer opportunities to get a secure foothold in work," Work Foundation Director Ben Harrison said.

- 36% of firms said they had reduced the number of entry-level jobs, ranging from 24% of small businesses to 48% and 46% of medium and larger employers
- 24% of small firms said AI and automation had lowered the number of jobs available, rising to 58% and 60% of larger firms
- 73% of employers said it was harder for young people to find work than five years ago
- Data comes from a Survation survey of 1,001 businesses for the Work Foundation, conducted from May 7 to May 20
- A UK government report in May warned of a risk of a "lost generation" of young people not in education, employment or training (NEET)
- More than 1 million people aged 16-24 were counted as NEET in the first quarter of 2026, the most since late 2013
- The latest official data on NEETs is due on Thursday
- Overall job vacancies in the three months to July were the lowest since February-April 2021 at 707,000, according to official figures
- Job website Adzuna said on Monday that the number of roles in July seeking graduates in their job description was down 49% from a year earlier
- The Confederation of British Industry on Tuesday urged the government to reverse some payroll tax rises in October's budget and scale back a planned tightening of employment laws to tackle youth unemployment

2. Challenge Description

Description of the challenge: With companies increasingly using AI for work that traditionally has been done by junior employees, fewer job postings are available for entry-level roles, particularly at medium and large companies. This only further restricts the opportunities for people who are just starting out on the job market and for recent graduates, as it is the positions that are most likely to serve as stepping stones into a career that are being lost.

We are interested in this topic because we are students of Data Science & AI, and as part of the next generation of students will be entering a new job market that is being redefined by this new technology.

Stakeholders:

Youth seeking employment and new entrants to the workforce: those who are most impacted by fewer jobs at the entry-level

Employers: meeting immediate productivity targets while maintaining ongoing talent pools

Need to be prepared to adapt their curriculum and job preparation programs.

Governments: suffer pressure from youth unemployment and welfare policy

The spread of this automation will be driven by the speed and aggressiveness of AI companies.

3. Scientific Peer-Reviewed Articles

Article 1

Choi, T., & Leigh, N. G. (2024). Artificial intelligence's creation and displacement of labor demand. *Technological Forecasting and Social Change*, 209, 123824. <https://doi.org/10.1016/j.techfore.2024.123824>

- **Subtype:** Original research article
- **Relevance:** Leverages job postings and patent information to analyze US metros to demonstrate that the adoption of AI generates demand for workers with AI skills, while also dampening the demand for non-AI workers in the same occupations, particularly those that are not routine cognitive tasks, which provides some insight into which jobs are most vulnerable.

Article 2

Occhipinti, J.-A., Hynes, W., Prodan, A., Eyre, H., Green, R., Burrow, S., Tanner, M., Buchanan, J., Ujdur, G., Destrebecq, F., Song, C., Carnevale, S., Hickie, I. B., & Heffernan, M. (2025). Generative AI may create a socioeconomic tipping point through labour displacement. *Scientific Reports*, 15(1), 1–11. <https://doi.org/10.1038/s41598-025-08498-x>

- **Subtype:** Original research article (system dynamics modeling)
- **Relevance:** Models how AI-driven labor displacement could double underutilization and cut disposable income by 26% by 2050, linking the labor-market issue to broader economic and wellbeing stakes.

Article 3

Samuel Muehlemann, Artificial intelligence adoption and workplace training, *Journal of Economic Behavior & Organization*, Volume 238, 2025, 107206, ISSN 0167-2681, <https://doi.org/10.1016/j.jebo.2025.107206>.

- **Subtype:** Original research article
- **Relevance:** Using German firm data, this study found that companies who already train workers actually added 14% more apprenticeships after adopting AI, but AI didn't push non-training companies to start. This shows AI's effect on entry-level jobs isn't all bad news, it depends a lot on what kind of firm you're looking at.

Article 4

Mayer, A. S., Baygi, R. M., & Buwalda, R. (2025). Generation AI: Job Crafting by Entry-Level Professionals in the Age of Generative AI. *Business & Information Systems Engineering*, 67, 595–613. <https://doi.org/10.1007/s12599-025-00959-x>

Subtype: Original research article

Relevance: This study looks at how entry-level professionals use Generative AI in their work and how AI changes their tasks and responsibilities. The study shows that AI is changing the type of work usually done by people at the beginning of their careers. This is relevant to our challenge because the news article discusses how AI is reducing entry-level job opportunities, while this study shows how AI is also changing the entry-level jobs that still exist.